| Business Status | Sole proprietor WITHOUT employees | Sole proprietor WITH employees |
|---|---|---|
| **New** or **Start-up** business<br><br>**(Business Registrations)** | • DTI Business name registration<br>• Barangay clearance<br>• Mayor's permits/Business permits<br>• BIR Registration | • DTI Business name registration<br>• Barangay clearance<br>• Mayor's permits/Business permits<br>• BIR Registration<br>• SSS Employer Registration<br>• SSS Employee Registration<br>• PhilHealth Employer Registration<br>• PhilHealth Employee Registration<br>• Pag-IBIG Employer Registration<br>• Pag-IBIG Employee Registration |
| **Existing** or **operating** business<br><br>**(Renewal of Permits)** | • Barangay clearance renewal (1 valid until December 31, must be renewed on or before January 20 of the following year. )<br>• Mayor's permits/Business permits renewal (valid until December 31, must be renewed every year between January 1 and January 20. )<br>• DTI Business name renewal (Valid up to 5 years)<br>In an early filing period : up to 180 days before the expiration date.<br>In a regular filing period: within 90 days after the expiration date.<br>In a late filing period: usually within 90 days after the regular filing window, subject to surcharges.<br><br>**Note:** No more BIR Annual Registration fee of P500.00 pursuant to EOPTA Act. | • Barangay clearance renewal (1 year after issuance date)<br>• Mayor's permits/Business permits renewal (valid for 1 year. Renew within the first month of the year or on the anniversary date of the issuance of the business permit.)<br>• DTI Business name renewal (After 5 years of validity)<br><br>**Note:** One-time registration for SSS, Philhealth and Pag-ibig. |

| | | |
|---|---|---|
| **Existing** or **operating** business<br><br>**(Post-registration compliance and obligations)** | • BIR Form<br>  • 1701<br>  • 1701-Q,<br>  • 1701-A<br>  • 1701-MS | • BIR Form<br>  • 1701<br>  • 1701-Q,<br>  • 1701-A<br>  • 1701-MS<br>**Note**:<br>The 8% income tax rate is optional for qualified self-employed individuals and professionals.<br><br>Applicable to taxpayers whose annual gross sales or receipts do not exceed ₱3,000,000, subject to the applicable BIR rules.<br><br>The 8% income tax rate is applied in lieu of the graduated income tax rates and the 3% percentage tax.<br><br>Legal Basis: Republic Act No. 10963 (TRAIN Law).<br><br>• SSS Contribution and remittance<br>• PhilHealth Contribution and remittance<br>• Pag-IBIG Contribution and remittance |

**Note:** Sole proprietors with employees must comply with employer/employee registration requirements

**DTI**

Requirements:

- One (1) valid government-issued ID of the applicant
- Tax Identification Number (TIN) of the owner, if applicable
- Duly accomplished DTI Business Name Registration Application Form
- Authorization Letter and valid ID of the authorized representative, if filed through a representative
- Additional documents for non-Philippine nationals, if applicable:
  - Certified copy of Alien Certificate of Registration (ACR)
  - Certificate of Registration for Sole Proprietorship / Certificate of Authority to engage in business in the Philippines, as applicable

Note: Online Application can be done by visiting the link

Link: https://bnrs.dti.gov.ph/registration

**Barangay clearance**

*Requirements:*

- VALID IDs (National ID, Passport, Driver's License, or Voter's ID)
- Proof of Residency
- Community Tax Certificate (CEDULA)
- Application form (provided on-site at the brgy. hall)

**Mayor's Permit / Business Permit**

**Business Permit Renewal Requirements**

The following documents are generally required for the renewal of a business permit:

- Latest Barangay Business Permit and official receipt/proof of payment
- Completed Business Permit Renewal Application Form and other required barangay documents
- Community Tax Certificate (Cedula)
- Latest Income Tax Return and Audited Financial Statements, together with proof of payment, when applicable
- Latest VAT or Percentage Tax Returns, whichever is applicable
- Latest notarized Contract of Lease, if the business premises are rented
- Valid DTI, SEC, or CDA registration, as applicable
- Number of employees and their respective SSS, Pag-IBIG, and PhilHealth registration details
- Affidavit of No Operations, if the business did not operate during the previous year

**Late Renewal Penalties**

Failure to renew the business permit on time may result in the following penalties:

- 25% surcharge on the business tax due
- 2% monthly interest on unpaid business taxes
- Continued nonpayment may result in business closure, cancellation or suspension of the business permit, or seizure of assets by the LGU, subject to applicable laws and local ordinances.

**BIR Registration**

- Online Registration: Register through the BIR Online Registration and Update System (ORUS).
- Certificate of Registration (COR): Pay the ₱30 Documentary Stamp Tax (DST), when applicable, to generate and print the electronic Certificate of Registration (eCOR).
- Invoicing Compliance: Use BIR-compliant invoices or apply for an Authority to Print (ATP), when applicable.

Requirements:

- Any government-issued ID (e.g. PhilID/ePhilID, Passport, Driver's License/eDriver's License.
- Any additional proof of residence or business address. (in case the ID has no address.)
- Final clear sample of OWN Invoices or buy a BIR-printed invoice (BPI).
    - ❖ In case you want to design a custom layout of your business invoices rather than buying a standard booklet, the process will be:
        1. Draft your layout
        2. Choose a BIR accredited printer
        3. Generate the sample lay-out
        4. File your Digital ATP request via ORUS Portal
        5. Download & print your Digital ATP Certificate and sent it to your chosen accredited printer
- DTI Certificate (if with a registered business name)
- Complete BIR Checklist: https://web-services.bir.gov.ph/eappointment/files/checklist_of_documentary_requirements.pdf

**SSS Registration**

Requirements:

- SSS Employer Registration Form (R-1), if applicable
- SSS Form (L-501) Specimen signature card
- Employment Report (R-1A)
- DTI Certificate of Business Name Registration
- Valid government-issued ID of the business owner/employer
- Tax Identification Number (TIN) of the employer
- Business/Mayor's Permit, if applicable
- Certification and Agreement on Data Privacy Notice
- Letter of Authority (LOA) or Special Power of Attorney (SPA), if filed through an authorized representative
- Valid government-issued IDs of the employer and authorized representative, if applicable
- SSS Number for each employee
- SSS Personal Record (E-1/E-1V), if the employee has no SS Number yet
- Valid ID/supporting documents of employees, when required

Link: https://www.sss.gov.ph/employer-er/

**PhilHealth Registration**

Requirements:

- PhilHealth Employer Data Record (ER1)
- DTI Certificate of Business Name Registration
- BIR Certificate of Registration (BIR Form 2303), when required
- Valid government-issued ID of the business owner/authorized signatory

- Business/Mayor's Permit, when applicable
- Authorization Letter and valid IDs, if filed through an authorized representative
- For employees: PhilHealth Identification Number (PIN)
- PhilHealth Member Registration Form (PMRF), if the employee has no PIN yet
- Valid supporting identification documents
- Report of Employee-Members (ER2)

Link: https://www.philhealth.gov.ph/partners/employers/registration.php

**Pag-IBIG Registration**

The following documents and information are generally required for Pag-IBIG Fund employer registration:

- Employer's Data Form (EDF) – Completed Pag-IBIG employer registration form.
- Business Registration Certificate:
    - Sole Proprietorship – DTI Certificate of Registration
    - Partnership or Corporation – SEC Certificate of Registration/Incorporation
- Business Information – Business name, business address, contact details, Tax Identification Number (TIN), and SSS Employer Number for private employers.
- Authorized Representative's Details – Complete information and signature of the employer or duly authorized representative/signatory.
- Supporting Documents – Other documents that may be required by Pag-IBIG Fund, depending on the type and circumstances of the business.

**After Registration**

After completing the registration process, the employer should:

- Obtain a Pag-IBIG Employer ID Number.
- Enroll in the available online employer services for managing employee records and contribution remittances.
- Maintain accurate employee membership information.
- Remit Pag-IBIG contributions regularly and comply with applicable reporting and payment requirements.

Link:https://www.scribd.com/document/585498371/PAG-IBIG-EMPLOYERS-DATA-FORM-FILL

Additional on the list:

| | Contributions | Penalties |
|---|---|---|
| BIR | File required tax return on time<br>Pay taxes due on time<br>Remit withholding taxes when applicable | The following penalties apply to micro taxpayers with annual gross sales below ₱3 million and small taxpayers with annual gross sales of ₱3 million to less than ₱20 million, subject to the applicable BIR rules and regulations.<br><br>Late Filing or Payment<br>● A 10% penalty may be imposed on the amount due for covered taxpayers who fail to file or pay on time.<br><br>Fraud or Willful Neglect<br>● A 50% penalty continues to apply in cases involving fraud or willful neglect.<br><br>Unpaid Taxes<br>● A reduced interest rate equivalent to 50% of the regular rate, or 6% per annum, may apply to unpaid taxes under the applicable regulation.<br><br>Failure to Submit Required Information or Records<br>● A ₱500 penalty per violation may be imposed, subject to a maximum of ₱12,500 per calendar year.<br><br>Certain Violations<br>● A 50% reduction in the applicable compromise penalty may be granted for specified violations that do not involve fraud, subject to the applicable rules and conditions.<br><br>https://bir-cdn.bir.gov.ph/BIR/pdf/RR%206-2024%20%28final%29.pdf |

| | | |
|---|---|---|
| SSS | • Monthly SSS contribution — employer and employe shares<br>• Employees' Compensatio (EC) contribution — employer share | • 2% per month on unpaid contributions until fully paid. |
| PhilHealth | • Monthly PhilHealth premium contributions — employer and employee shares<br>• Submit required remittance/reporting | • Missed employer contributions may be subject to interest of at least 3%, compounded monthly, subject to applicable PhilHealth rules/programs. |
| PagIBIG | • Monthly Pag-IBIG/Mandatory Savings contributions — employer and employee shares<br>• Submit Membership Savings Remittance Form (MSRF) | • 0.1% per day of the amount due for each day of delay (equivalent to 1/10 of 1%). |

**BMBE**

| | |
|---|---|
| **What** | Barangay Micro Business Enterprises (BMBE) Act of 2002 aims to promote the establishment of micro businesses in the Philippines. |
| **Who** | Any person, natural or juridical, such as a partnership, corporation, association, and cooperative. |
| **Qualifications** | A person applying to be registered as a BMBE shall meet the following qualifications:<br><br>a) With an asset of not more than Three Million Pesos (P3,000,000.00) excluding land;<br><br>b) Engaged in the production, processing or manufacturing of products or commodities, including agroprocessing, trading and services;<br><br>c) Registered with the Department of Trade and Industry (DTI) for sole proprietorships, for juridical persons; with Securities and Exchange Commission (SEC) for corporation. |
| **Requirement** | • BMBE Form 01 (3 copies) |
| **Exempt** | 1. All BMBEs except on Regular Income Tax |

| | |
|---|---|
| | 2. BMBEs shall be exempt from the coverage of the Minimum Wage Law (MWL). |
| **Guide and steps for BMBE registration** | **Filing**<br>1. Go to the website bmbe.dti.gov.ph<br>2. Fill out the eligibility checker to determine whether you meet the criteria requirements<br>3. Provide and submit the business email for registrations<br>4. Check and input the verification code sent by email<br>5. Fill out the BMBE registration form<br>6. Review the information provided<br>7. Submit and download the certificate |
| **Validity/Renewal** | Valid for 2 years after registration and may be renewed for the same period of (2) years or every two (2) years thereafter. |
| **Link to Video Tutorial** | https://www.youtube.com/watch?v=4hg4Ghe_8fk |

| DTI Business Name Registration Fees | | | |
|---|---|---|---|
| **Territorial scope** | **Registration fees** | **Documentary stamps** | **Total amount** |
| 1. Barangay | P200.00 | P30.00 | **P230.00** |
| 2. City/Municipality | P500.00 | P30.00 | **P530.00** |
| 3. Regional | P1,000.00 | P30.00 | **P1,030.00** |
| 4. National | P2,000.00 | P30.00 | **P2,030.00** |

**Note:** The DTI business name registration fee depends on the chosen territorial scope. A P30.00 Documentary Stamp Tax (DST) is added to the registration fee.

| Barangay Clearance fees | | | |
|---|---|---|---|
| **Cities** | **Estimated Amount** | **Cities** | **Estimated Amount** |
| Caloocan City | P200.00 - P500.00 | Navotas City | P200.00 |
| Las Piñas City | P500.00 (P200; for sari-sari store) | Parañaque City | P200.00 - P500.00 |
| Makati City | P200.00 - P500.00 | Pasay City | P500.00 |

| | | | |
|---|---|---|---|
| Malabon City | P200.00 | Pasig City | P200.00 - P500.00 |
| Mandaluyong City | P200.00 - P300.00 | Quezon City | P300.00 - P1,000.00 |
| Manila City | P200.00 | San Juan City | P200.00 |
| Marikina City | P100.00 - P200.00 | Taguig City | P200.00 - P500.00 |
| Muntinlupa City | P200.00 | Valenzuela City | P200.00 |

**Note:** The amounts presented in the table are approximate estimates for a small sari-sari store and are intended for budgeting and comparison purposes only. The estimates are based on available local government ordinances and published fee schedules, which show that business clearance and permit fees may differ depending on the city or barangay and the type and size of the business. For example, Pasay City's Revised Revenue Code provides a specific barangay business-clearance fee for sari-sari stores, while Manila City Ordinance No. 8754 provides that barangay clearance fees are governed by the applicable barangay ordinance. Therefore, the amounts shown should not be considered fixed or official rates for all cities. The actual fees may vary and should be confirmed with the concerned local government unit (LGU) before application.

| Mayor's permit fees | |
|---|---|
| **Clasifications** | **Estimated Fees Range** |
| **Caloocan City** | |
| Mayor's Permit Fee | P500.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 |
| Sanitary permit | P500.00 - P10,000.00 |
| Health Clearance fee | P100 |
| Fire Safety Inspection Certificate fee | P2.00 - P4.00 (per sqm.) |
| **Las Pinas City** | |
| Mayor's Permit Fee | P200.00 - P15,000. 00 |
| Zoning Clearance Fee | P200.00 |
| Sanitary permit | P300.00 - P12,000.0 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate fee | P100.00 |
| **Makati City** | |

| | |
|---|---|
| Mayor’s Permit Fee | P200.00 - P12,000.00 |
| Zoning Clearance Fee | P200.00 |
| Sanitary Permit Fee | P500.00 - P2,000.00 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate Fee | P500.00 |
| **Malabon City** | |
| Mayor’s Permit Fee | P110.00 - P11,000.00 |
| Zoning Clearance Fee | P345.00 |
| Sanitary Permit Fee | P110.00 - P2,500.00 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate Fee | 15% of all other fees* or P500.00 |
| **Mandaluyong City** | |
| Mayor’s Permit Fee | P200.00 - P7,000.00 |
| Zoning Clearance Fee | P104.18 |
| Sanitary permit | P110.00 - P880.00 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate Fee | 15% of all other fees* or P500.00 |
| **Manila City** | |
| Mayor’s Permit Fee | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P200.00 |
| Sanitary permit | P120.00 - P1,600.00 |
| Health Clearance Fee | P100.00 |
| Fire Safety Inspection Certificate Fee | P500.00 |
| **Marikina City** | |
| Mayor’s Permit Fee | P100.00 - P7,000.00 |
| Zoning Clearance Fee | P500.00 |
| Sanitary permit | P150.00 - P600.00 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate Fee | P500.00 |

| | |
|---|---|
| **Muntinlupa City** | |
| Mayor’s Permit Fee | P100.00 - P5,000.00 |
| Zoning Clearance Fee | P175.00 |
| Sanitary permit | P500.00 - P3,000.00 |
| Health Clearance Fee | P50.00 |
| Fire Safety Inspection Certificate fee | P500.00 |
| **Navotas City** | |
| Mayor’s Permit | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 - P500.00 |
| Sanitary Permit | P100.00 - P2,000.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Inspection Fee | P500.00 - P1,500.00 |
| **Parañaque City** | |
| Mayor’s Permit | P1,650.00 - P7,920.00 |
| Zoning Clearance Fee | P500.00 - P1,800.00 |
| Sanitary Permit | P300.00 - P850.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Inspection Fee | P500.00 - P2,000.00 |
| **Pasay City** | |
| Mayor’s Permit | P200.00 - P5,000.00 |
| Zoning Clearance Fee | P800.00 |
| Sanitary Permit | P600.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Inspection Fee | P1,110.00 |
| **Pasig City** | |
| Mayor’s Permit | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 - P500.00 |
| Sanitary Permit | P500.00 - P1,000.00 |
| Healthcare Certificate | P50.00 - P100.00 |

| | |
|---|---|
| Fire Safety Inspection Fee | P500.00 - P1,500.00 |
| **Quezon City** | |
| Mayor’s Permit | P2,000.00 - P15,000.00 |
| Zoning Clearance fee | P500.00 |
| Sanitary Permit | P90.00 - P1,500.00 |
| Health Certificate | P50.00 |
| Fire Safety Inspection Fee | 10% of all other fees*or P500.00 |
| **San Juan City** | |
| Mayor’s Permit | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 - P500.00 |
| Sanitary Permit | P100.00 - P2,000.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Fee | P500.00 - P1,500.00 |

| | |
|---|---|
| **Taguig City** | |
| Mayor’s Permit | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 - P500.00 |
| Sanitary Permit | P100.00 - P2,000.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Fee | P500.00 - P1,500.00 |
| **Valenzuela City** | |
| Mayor’s Permit | P200.00 - P10,000.00 |
| Zoning Clearance Fee | P100.00 - P500.00 |
| Sanitary Permit | P100.00 - P2,000.00 |
| Healthcare Certificate | P50.00 - P100.00 |
| Fire Safety Fee | P500.00 - P1,500.00 |

**Note:** The estimated amounts listed above distinguish the Mayor’s Permit fee from the Local Business Tax (LBT), as these are separate charges imposed by the local government unit (LGU). The Mayor’s Permit fee is a regulatory charge for the issuance of a permit to operate, while the Local Business Tax is generally based on the business’s

gross sales or receipts for existing businesses, or capitalization for newly established businesses, subject to the applicable local revenue code. Other fees, such as zoning clearance, sanitary permit, health certificate, and Fire Safety Inspection Certificate (FSIC) fee, may also apply. The actual amounts vary depending on the city or municipality, the nature and size of the business, and the applicable local ordinances, which may be updated or amended over time.

| BIR Registration fees | |
|---|---|
| | **Amount** |
| Registration Fee | P0.00 |
| Documentary Stamp Tax (DST) | P30.00 |
| Book of Accounts* | P200.00 - P300.00 |
| BIR Printed Invoice (BPI)* | P50.00 per booklet (50 pages) |
| Invoice (Own) | P200.00 - P400.00 per booklet |

**Note:** No registration fee is required under the Ease of Paying Taxes (EOPT) Act. The cost of the books of accounts may vary depending on the type and number of books required. BIR-Printed Invoices (BPI) may be used by new business registrants during their first year of operation or until the invoices are fully consumed, whichever comes first. Beginning in the second year, taxpayers are generally required to secure an Authority to Print (ATP) for their own principal invoices, unless they qualify for the applicable exception allowing continued use of BIR-printed invoices. The cost of privately printed invoices depends on the rates charged by BIR-accredited printers.